

THE STATE OF
CAR RENTAL
2025



Foreword

The State of Car Rental 2025 brings together honest perspectives from operators across the world — highlighting what's shifting, where the friction lies, and how teams are preparing for what's next.

In a time of rapid change, this report offers a moment to pause, compare notes, and take away practical insights that can shape smarter, more resilient rental operations going forward.

The partnered survey between Rate Gain and Auto Rental News provides valuable and deeper insights into the state of rental car operations globally.

These findings can inform rental fleet operators worldwide of industry benchmarks and challenges as they strategize how to succeed in a shifting car rental market



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Why the State of Car Rental?

In recent years, the car rental industry has faced significant disruptions—driven by shifting traveler expectations, unpredictable global demand, accelerated adoption of AI-driven technologies, complex supply-chain challenges affecting fleet management and the emerging opportunities around electric vehicles (EVs).

Yet, until now, we have lacked clear insight into how industry leaders and operators view these critical shifts.

Built on insights from industry professionals, this report aims to give you actionable benchmarks to see how your peers are navigating today's challenges, validate your strategies, and confidently position your business for future success.

We extend our deepest gratitude to the respondents whose valuable insights have shaped this essential resource for the industry.

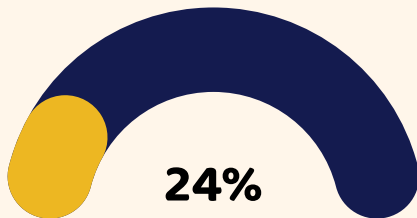
The State of Car Rental 2025 is our effort and commitment to bridge this gap—providing a comprehensive view of how car rental businesses are approaching these challenges and investing to stay ahead.



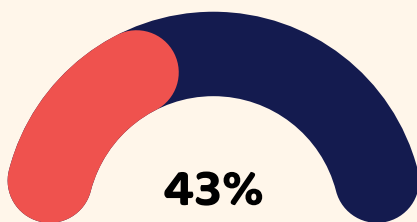
Customer Experience

Internal Delays Are the Real Barrier to Complaint Resolution

Limited Staff Authority



Delayed Response Time



Our survey findings reveal that the primary blockers to resolving customer complaints aren't technology failures or unreasonable customer demands — they stem from internal operational gaps:

- **43% of respondents cite delayed response times** as the biggest hurdle.
- **24% highlight limited staff authority** to finalize resolutions.

The message is clear:

Customers aren't waiting on systems — they're waiting on faster, empowered teams.



Frontline Teams Can't Act Without Clear Guidelines

#1 Challenge

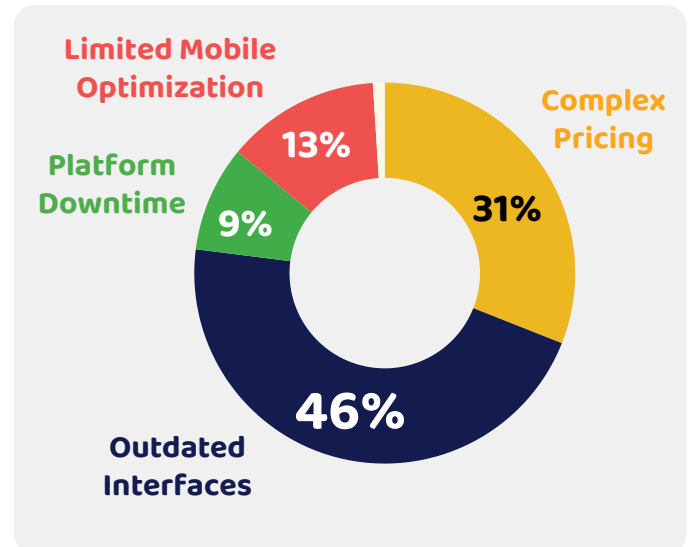
Inconsistent resolution guidelines

In our survey, Branch and Operations Managers highlighted one challenge above all others:

Inconsistent resolution guidelines — not tools or technology — are the biggest reason complaints remain unresolved.

For the frontline teams, the issue isn't technology — it's the lack of clear, consistent processes to act on.

The Booking Experience Gap Isn't About Access — It's About Usability



Our survey reveals that the biggest obstacle to providing a smooth online booking experience isn't lack of technology — it's the experience itself:

- The majority of respondents point to outdated websites and app interfaces as the biggest barrier.
- Many highlight that inconsistent pricing across channels creates confusion — and ultimately, undermines customer trust.
- Only **13%** cite mobile optimization gaps and **9%** mention platform downtime.

This shows that while most businesses have the right digital tools, they still struggle with outdated design, clunky usability, and overcomplicated booking flows.

The takeaway:

Adopting digital tools is just the start — usability drives conversion.



Fleet & EV Adoption

Why Fleet Readiness Remains out of reach?

01 Demand Visibility Gaps

- Inaccurate demand forecasting
- Lack of predictive tools
- Fragmented view across locations

02 Reactive Fleet Management

- Relying on vehicle transfers and promotions
- No formal processes to scale fleet efficiently
- High operational costs pressure

03 Operational Impact

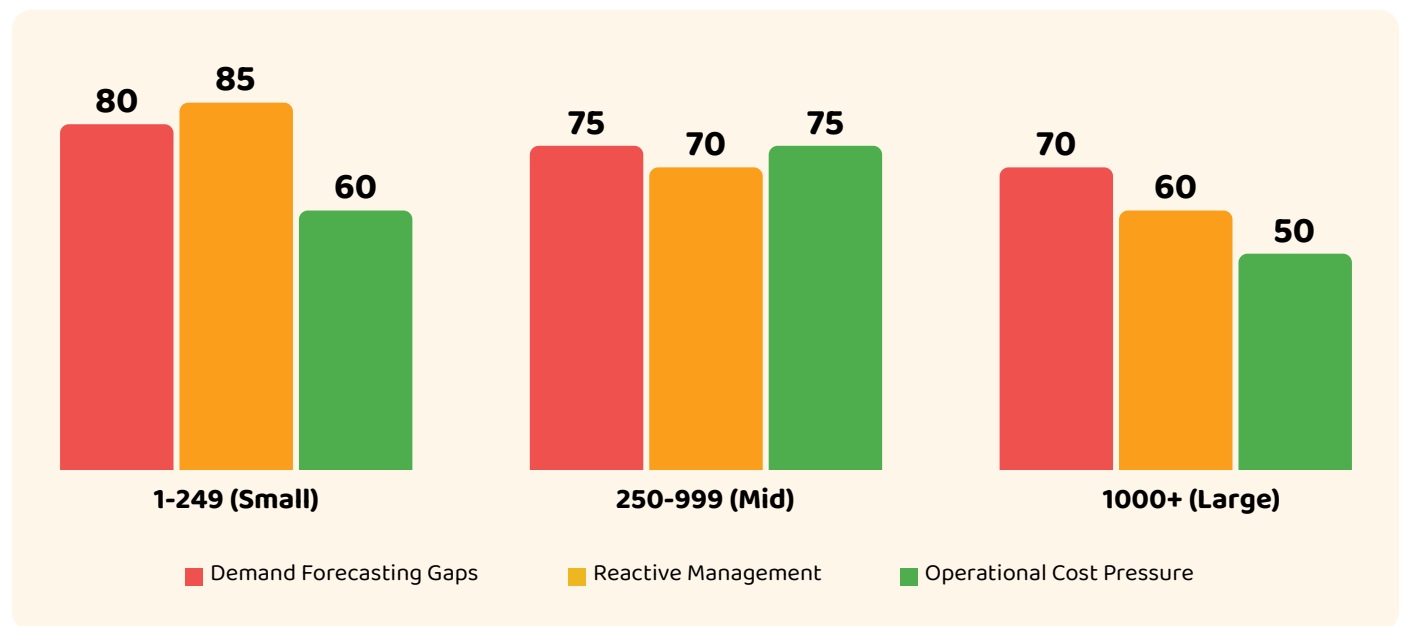
- Delays and customer dissatisfaction
- Lost bookings during demand peaks
- Fleet underutilization and revenue loss

Our survey data reveals a clear, three-step pattern behind why fleet readiness remains out of reach:

Poor demand visibility leads to reactive fleet management decisions, which then leads to missed bookings and revenue loss.

Until operators shift toward data-driven fleet planning, readiness will remain reactive, inefficient, and exposed to demand fluctuations.

Different Fleet Sizes, Same Operational Hurdles



Our survey responses highlight how operators of different fleet sizes approach demand and operational challenges:

Smaller Fleets (1-249 units)

- They are heavily dependent on reactive tactics such as shifting vehicles and running promotions to manage seasonal demand swings.
- Most frequently cite demand forecasting gaps, driven by limited access to predictive tools.
- Operational costs and availability issues are common, but often absorbed as part of doing business.

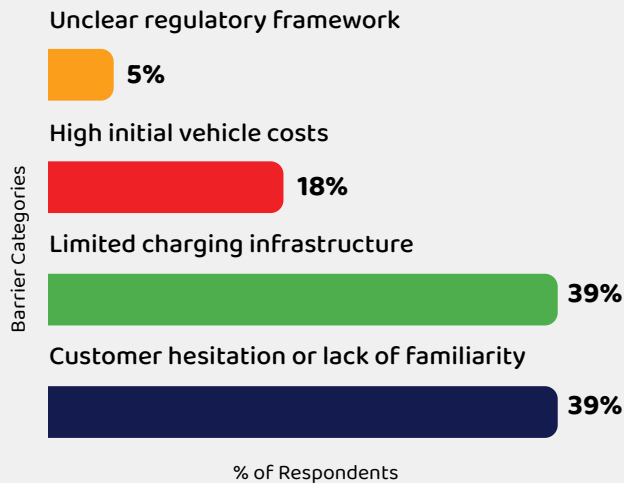
Mid-Sized Fleets (250-999 units)

- Reports the greatest operational cost pressures across all segments.
- They attempt to balance reactive decisions (like fleet transfers) with structural solutions such as buy-back programs — but lack consistency.
- More likely to experience booking losses due to availability issues, reflecting the strain of scaling without full operational maturity.

Larger Fleets (1000+ units)

- More likely to adopt structured fleet management strategies, particularly lease adjustments, to handle seasonal demand.
- Despite having greater resources and systems, large fleets still report demand forecasting challenges.
- Frequently reports of customer dissatisfaction and booking losses - suggesting that scale amplifies operational gaps rather than eliminating them.

EV Adoption Barriers Are Market-Driven, Not Cost-Driven



Survey responses show that the primary barriers to broader EV adoption aren't internal fleet constraints — but customer hesitation and infrastructure readiness.

Together, these account for **78% of all responses**.

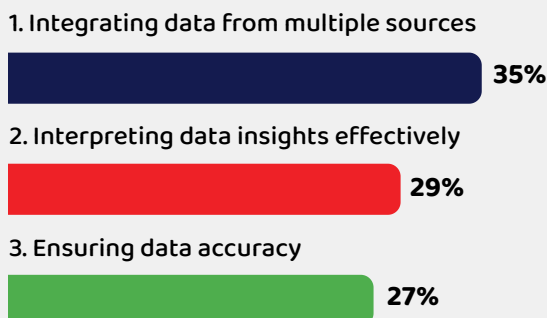
Factors like cost and regulations were cited far less frequently, indicating they are not the immediate hurdle.

The EV transition challenge is no longer about affordability — it's about preparing the market and infrastructure to support adoption.



Data & Technology

Top 3 Data Challenges



Car rental businesses are surrounded by data—bookings, fleet availability, competitor rates—yet they continue to face three main challenges:



Disjointed Systems
an incomplete view of market demand



Limited data interpretation
missed revenue opportunities

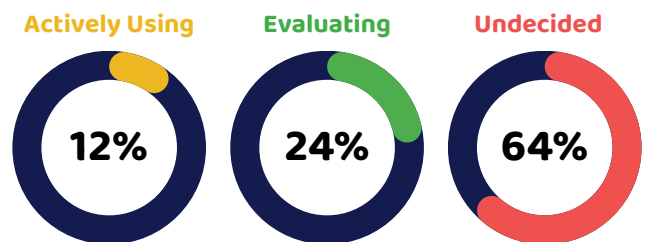


Inaccurate data
costly pricing decisions

If you can't trust your data, you can't price confidently.

That's why the conversation is shifting—from scattered systems to **centralized data models**, and from manual guesswork to **AI-driven pricing**. It's about connecting the dots to unlock smarter, faster decisions.

AI in Pricing Is still on the Fence



Despite the growing conversation around AI-driven pricing, the car rental industry shows a clear divide in readiness to adopt it.

For the undecided segment, the hesitation isn't about access to technology — it's rooted in deeper operational and strategic concerns:

- Confidence in AI's ability to reflect real-time market demand
- The learning curve involved in shifting away from familiar, manual pricing methods
- Uncertainty around how AI-powered pricing will integrate with existing systems and processes

The bigger question for businesses is not whether AI-driven pricing tools exist — but how to overcome the internal resistance, unclear ROI, and fears of operational disruption that are slowing down adoption.

Bridging this gap will require a focused effort on education, clear business cases, and proof of value.

For many operators, the competitive edge will belong to those who act early — not just those who watch from the sidelines.

Digital Tools Are Only as Good as the Teams Using Them

7 in 10 respondents rely on informal or minimal training methods.



The survey reveals a critical gap in how car rental businesses equip their teams to use digital tools effectively.

This highlights a hidden risk:

While businesses invest in data platforms and pricing technology, they often overlook the need to **build digital confidence and capability within their teams**. Without proper training, even the best technology fails to deliver value.

For car rentals, the impact is clear:



Without the right training, revenue teams often default to manual decision-making



Digital tools are underutilized



The shift toward data-driven pricing slows down

Structured, ongoing training isn't just an HR exercise — it's a revenue strategy.

The car rental brands that prioritize internal skill-building will move faster, price smarter, and capture more market share.




60%

struggle to integrate data


70%

rely on informal training


>50%

undecided about AI pricing adoption

What's Behind the Digital Execution Gap?



Leadership

(Owner, Executive and Regional Management)

- Set ambitious digital and data-led goals but haven't fully translated them into daily workflows.
- Invest in digital transformation but may underestimate the enablement teams need to deliver effectively.
- Express intent to modernize but continue to rely on familiar, manual ways of working in key processes.
- Expect data-led outcomes while systems, processes, and decision-making frameworks continue to evolve.

Execution Gap


Operational Teams

(Revenue, Sales and Teams)

- Responsible for using digital tools but often operate without clearly defined processes or authority.
- Tend to rely on informal, on-the-job learning in the absence of structured training.
- Open to new tools — but only if they simplify workflows and reduce day-to-day friction.
- Deal with fragmented data systems and lack the autonomy to act swiftly.

The insights gathered from responses on data, training, and AI adoption reveal a consistent challenge across the industry — A clear gap between digital ambition and day-to-day execution.

This is not a technology issue — **it's an execution challenge.**

Until this gap is addressed, efforts to drive data-led pricing strategies and operational efficiency will fall short.

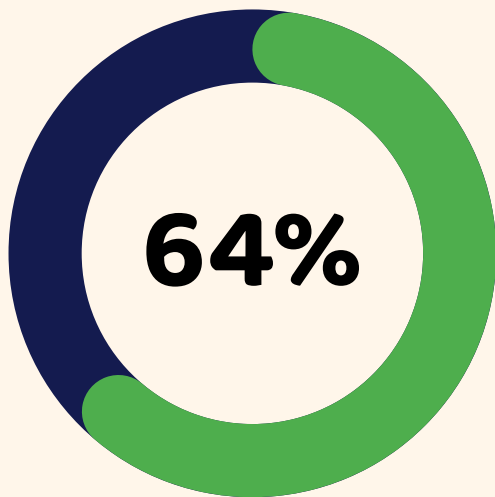
The opportunity ahead:

Those who bridge this gap — aligning strategy, systems, and team capability — will lead the next phase of growth in the car rental industry.

Pricing & Revenue



Competitor Rates: The #1 Driver behind Pricing Strategies



Competitor rates are the **#1** factor influencing today's pricing strategies. In fact, **64%** of car rental businesses say competitor pricing shapes how they set their rates, reflecting a highly reactive market environment.

In a landscape where prices shift rapidly, most revenue teams are constantly looking over their shoulder, adjusting rates based on what competitors are doing—often reacting, rather than leading.

What's the Biggest Challenge in Updating Prices across channels?

Inconsistent Rate Structures



Lack of real-time integration tools



Complex partner agreements



Limited staff expertise



Despite all the technology available today, the real challenge isn't choosing the right price—it's the messy, manual effort of keeping prices aligned across multiple sales channels.

The survey reveals four key hurdles:

- Inconsistent rate structures across channels makes it hard to maintain consistency
- Systems that don't connect well, making real-time updates difficult
- Commercial agreements differ across channels, adding extra layers to every pricing decision.
- Teams often lack the expertise to manage all of this efficiently

Until these gaps are addressed, pricing will continue to be reactive and time-consuming.

How do you most commonly identify new revenue opportunities?

The 3 Levers for Revenue Teams to Unlock Growth

1. Main Approach: Competitor/Market analysis



2. Second Favorite: Expanding Partnerships



3. Rarely Used: Strengthening loyalty and rewards programs



When asked how they identify new revenue opportunities, most operators look outward—closely monitoring competitors and exploring partnerships to expand their reach. Yet few focus on unlocking value from their existing customer base.

The survey reveals:

- Half of the respondents rely on competitor and market analysis — monitoring trends and adjusting their strategy based on what's happening around them.
- 38% focus on expanding partnerships and broadening distribution channels — betting on scale.
- Only 7% invest in customer loyalty and rewards programs — an untapped lever for sustainable, long-term growth.

It's clear — most teams are looking outward for growth, overlooking the value already within their customer base.

How Different Teams View Pricing — Through Their Own Lens

At its core, pricing is about driving revenue. But in reality, each team approaches it through a lens shaped by their own goals, challenges, and responsibilities. Here's how different roles see pricing — and why it matters.

Here's what they said:



Owners

For us, pricing is about protecting margins and maintaining strong partner relationships. We're focused on commission structures, cost models, and overall profitability.



Executive Leaders

We see pricing as a strategic lever — a way to stay ahead of competitors and defend our market position. It's about visibility, clarity, and control.



Revenue and Ops

Our job is to ensure pricing is consistent, timely, and error-free across all channels. Inconsistent rates and a lack of real-time tools slow us down and cost us business.



Sales and Marketing

Pricing helps us stay attractive and competitive — we need to match the market to win. We're always watching market rates and looking for ways to run promotions.



Analysts

For us, it's about maintaining the integrity behind pricing decisions. Is the data reliable and accurate? And beyond that — do we have the tools, skills, and confidence to make the right calls based on that data?

Bringing these viewpoints together is key to building a smarter, faster, and more aligned pricing strategy.

Future Outlook & Emerging Trends



Physical Rental Counters Aren't Going Away Anytime Soon

1 in 3

car rental operators believe the physical rental counter will always remain essential.

56%

say that physical counters will stay essential or remain unchanged for at least five more years.

While digital models like remote keyless rentals and doorstep delivery are gaining traction in the mobility sector, our survey reveals a cautious, even resistant, outlook from car rental operators.

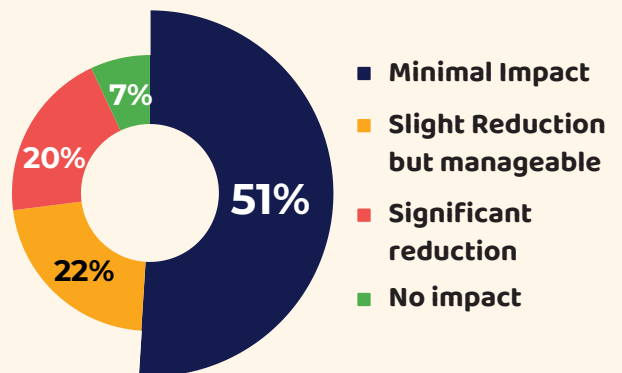
More than 50% of respondents say they have no plans to reduce branch reliance in the next 5 years — or ever.

Why the hesitation? It's not a tech issue — it's about trust, control, and operational habits:

- **Customer verification and trust at pick-up**
- **Operational control and asset handover**
- **Dependency on footfall at airport and high-traffic locations**

The future may be digital, but car rentals are not ready to go "counterless" yet.

Ride-Sharing Impact: Is the industry underestimating the threat?



Our survey reveals that the majority of car rental operators acknowledge some level of impact on single-day rentals from ride-sharing services.

While many believe the two markets cater to different customer needs, ride-sharing has undeniably influenced car rental demand patterns.

It may not replace traditional rentals — but its growing presence is quietly reshaping how and when customers opt for short-term rentals.

When Everyone Has AI Pricing — How Will You Compete?

Imagine a world where every car rental company has access to the same AI tools — the same data, the same forecasts, the same pricing precision. **What sets them apart then?**

Here's what they told us:



Revenue and ops teams:

Focus on improving customer experience and loyalty programs



Branch managers and analysts:

Believe it's about great service and customer-first offers



Owners and executives:

Split — some bet on brand marketing, others still think price will win

In other words, our survey respondents know something important:

Even when everyone has access to AI and smarter tools to predict demand — your real edge will still come from how well you deliver on the fundamentals.



5 Emerging Trends Shaping the Next Chapter of Car Rentals

Across revenue, operations, fleet, data and customer experience, five clear themes have emerged — revealing how car rentals can stay competitive in a rapidly evolving market. These aren't future predictions; they're signals already visible today.



Pricing Strategies Remain Too Reactive

Most pricing teams continue to follow the market — not lead it. Competitor rates remain the top trigger for pricing moves, leading to reactive decision-making and missed revenue potential. To stay ahead, operators must shift from a rearview approach to one powered by demand intelligence and forward-looking forecasts.



Mobility Disruption Is Already Influencing Demand

Even if ridesharing and on-demand mobility aren't eating into car rental revenue yet, they're changing consumer behavior:

- Growing demand for flexible, short-term, or hourly rentals
- App-first expectations for discovery, booking, and communication
- Less tolerance for rigid, branch-based processes

Operators who respond to these subtle shifts early — before they become industry standard — will be better positioned for the next phase of mobility.



The Digital Gap Isn't About Tools — It's About Execution

Technology isn't the problem. Adoption is. Many operators already have access to pricing platforms, CRS, and connected systems — but they struggle to activate them fully due to:

- Fragmented data ecosystems that obscure the full picture
- Limited training and upskilling for revenue and ops teams
- Unclear ownership of who makes decisions and when

Digital progress will continue to lag until execution aligns with investment.



Operational Bottlenecks Are Breaking the Customer Experience

Customer pain points — slow complaint handling, inconsistent service, clunky handovers — often stem from what's happening behind the scenes:

- Over-reliance on manual approvals
- Disconnected workflows and overlapping roles
- Unclear role responsibilities among frontline staff

In a business where service is the brand, these internal friction points can quickly erode customer trust.



AI Is Here — But Readiness Remains the Barrier

There's no shortage of AI-powered tools. What's missing is organizational readiness to use them:

- Teams unsure how to interpret or trust AI-generated recommendations
- Disconnected systems blocking real-time inputs and execution
- Lack of processes to embed AI into daily workflows

AI isn't a silver bullet. But when paired with the right data, training, and ownership — it becomes a powerful competitive differentiator.

Closing Note

The car rental industry is full of potential — with smarter tools, better data, and stronger platforms than ever before.

What will set the next wave of car rental leaders apart isn't access to technology — it's the ability to act on insights, streamline operations, and deliver faster, more consistent customer experiences.

These five trends aren't predictions — they're already reshaping how rentals are priced, how customers book, and how teams operate.

The opportunity now is clear:

Who's ready to lead the next phase of growth?

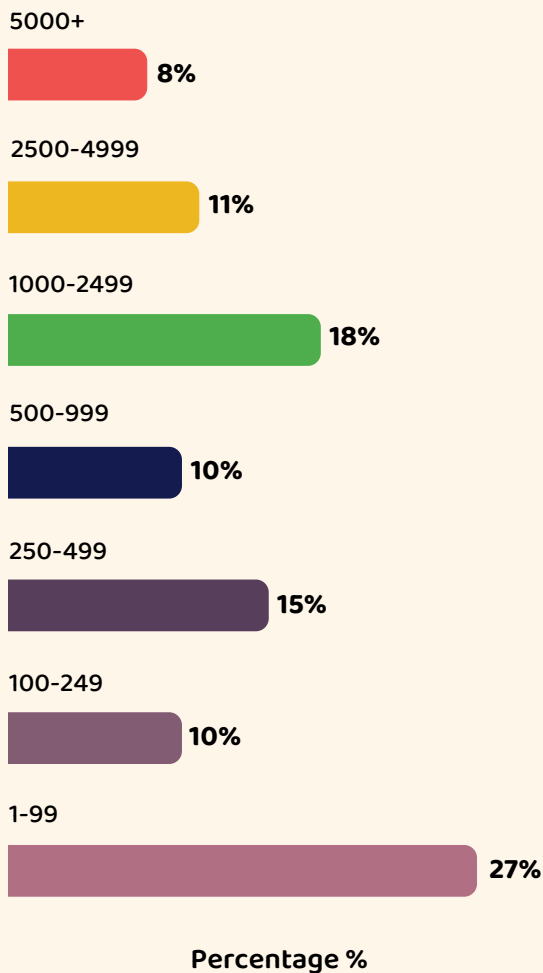
Those who act now will be the ones who grow stronger, faster, and more resilient.



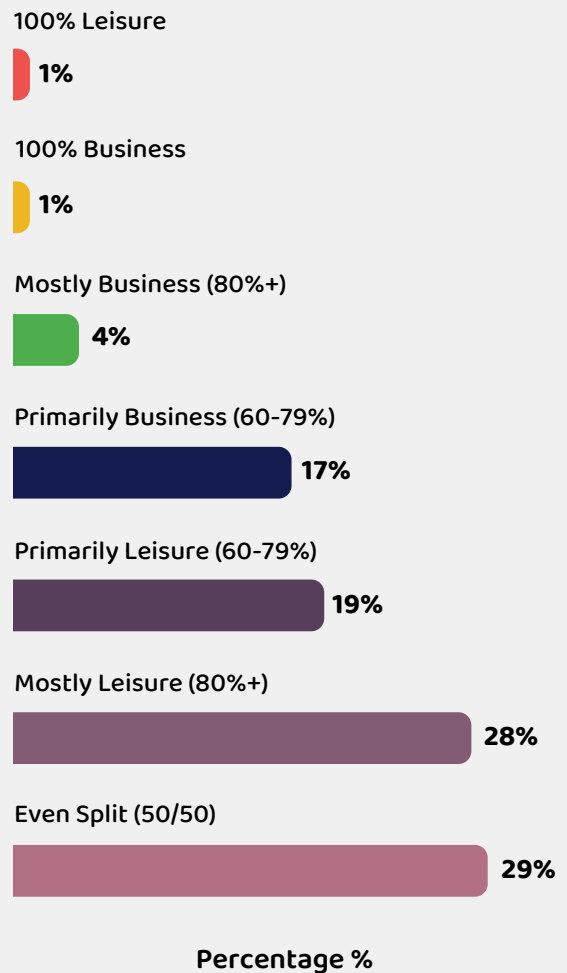
Who Responded



Fleet Sizes Represented in the Survey



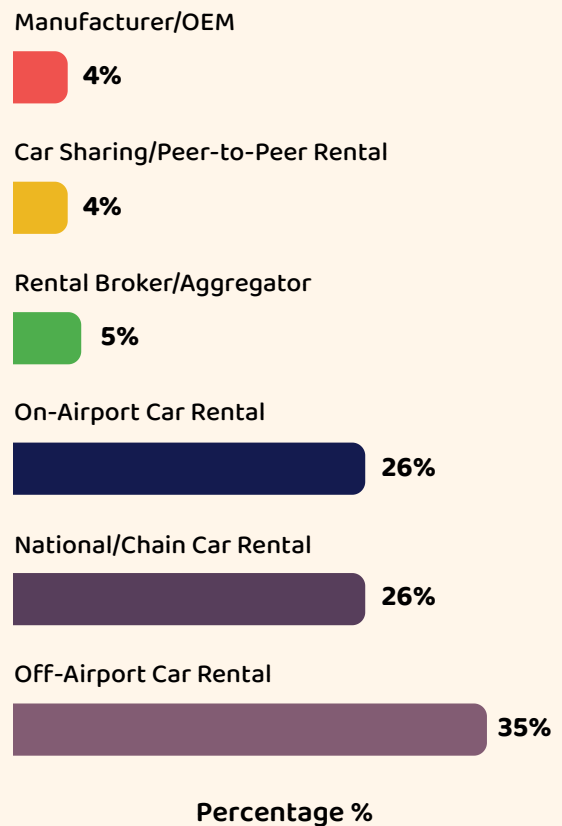
How Fleets Are Split: Business vs. Leisure Rentals



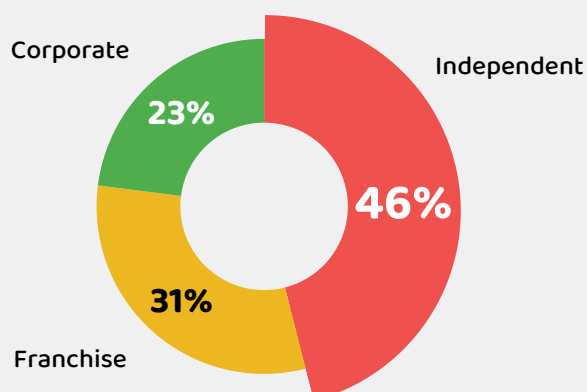
Who We Heard From: Roles Across the Industry



Business Types Represented in the Survey



Rental Operation Breakdown



Methodology

- **Survey Period:** February 18 – March 14, 2025
- **Total Respondents:** 155 industry professionals
- **Car Rental Representation:** 129 respondents from car rental companies
- **Focus Areas:** Pricing, demand forecasting, fleet management, technology adoption, and customer experience

This survey highlights the key trends shaping the car rental industry today, offering direct insight from operators navigating an evolving landscape.

A Joint Industry Survey by

RateGain

&

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Bobit Business Media

About Bobit Business Media

Bobit Business Media is a trusted source of insights and intelligence for the mobility, transportation, and fleet management industries. With decades of experience, Bobit connects industry leaders through news, data, research, and events that help businesses navigate evolving trends and challenges.

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About RateGain

RateGain Travel Technologies Limited is a global provider of AI-powered SaaS solutions for travel and hospitality that works with 3,200+ customers and 700+ partners in 100+ countries helping them accelerate revenue generation through acquisition, retention, and wallet share expansion.

RateGain today is one of the world's largest processors of electronic transactions, price points, and travel intent data helping revenue management, distribution and marketing teams across hotels, airlines, meta-search companies, package providers, car rentals, travel management companies, cruises and ferries drive better outcomes for their business. Founded in 2004 and headquartered in India, today RateGain works with 26 of the Top 30 Hotel Chains, 25 of the Top 30 Online Travel Agents, 4 of the Top 5 Airlines, and all the top car rentals, including 16 Global Fortune 500 companies in unlocking new revenue every day. For more information, please visit www.rategain.com